

short-term speculation; and, until 2007, almost no discussion of the huge deficits that we are facing in our public and private systems of retirement plan funding in which our funds play such an important role.

While these are not problems that lack solutions, it would be absurd to claim that solutions will be easily achieved. But I now want to set out my views as to the new direction this industry ought to take—indeed, ultimately *must* take, in its own enlightened self-interest—to establish a new beginning for reform.

Let's Dream Together

“I have a dream.” Or rather, five dreams—five dreams for redesigning the mutual fund industry in the years ahead so that it can return to the focus on management of its early history and minimize the marketing focus that has come to dominate the business today—a dream, that is, of an industry that once again values stewardship more highly than salesmanship.

Dream 1: A Fair Shake for Shareholders

The first dream is to design a new industry in which we give our investors a fair shake in terms of costs. As I have noted, although equity fund expense ratios recently have leveled off, despite the staggering increase in assets under management they remain at least 50 percent higher than in the infinitely smaller industry of 50 years ago. Clearly, the vast economies of scale that come hand in hand with the management of other people's money have done far more to benefit managers than to benefit investors. I dream that that trend will be reversed.

Dream 2: Serving the Investor for a Lifetime